NOVEMBER 2020 FORECAST UPDATE

Brecksville-Broadview Heights City School District

Craig Yaniglos, CFO

WHAT IS A FORECAST?

A forecast is a snapshot at a specific point in time and based off the most current information available.

Disclaimers:

1. A forecast is a living document and can change within hours or days of publication.
2. Assumptions laid out in this presentation in no way represent a baseline for any current or future negotiations with CBAs.
3. Due to the COVID-19 Pandemic all schools continue to be in unchartered territory both academically and financially. BBHCSD will continue to monitor its financial situation as information becomes available

KIS STATEMENT

	2020	2021	2022	2023	2024
Beginning Cash Balance	$17,475,491	$18,796,718	$18,623,374	$17,547,870	$14,984,844
+ Revenue	$52,637,408	$50,929,163	$51,962,824	$52,620,306	$53,192,538
+ Renewal Levies	$0	$0	$0	$0	$0
+ New Levies	$0	$0	$0	$0	$0
- Expenditures	$51,316,181	$51,102,507	$53,038,328	$55,183,332	$56,931,728
= Revenue Surplus or Deficit	**$1,321,227**	**-$173,344**	**-$1,075,504**	**-$2,563,026**	**-$3,739,190**
Ending Cash Balance with Levies	$18,796,718	$18,623,374	$17,547,870	$14,984,844	$11,245,654

	2021	2022	2023	2024	2025
Beginning Cash Balance	$19,867,227	$19,323,644	$18,524,982	$16,740,069	$13,751,161
+ Revenue	$51,252,939	$52,059,915	$52,692,784	$53,230,698	$53,659,915
+ Renewal Levies	$0	$0	$0	$0	$0
+ New Levies	$0	$0	$0	$0	$0
- Expenditures	$51,796,522	$52,858,577	$54,477,697	$56,219,606	$57,813,499
= Revenue Surplus or Deficit	**-$543,583**	**-$798,662**	**-$1,784,913**	**-$2,988,908**	**-$4,153,584**
Ending Cash Balance with Levies	$19,323,644	$18,524,982	$16,740,069	$13,751,161	$9,597,577

Revenue Increases

1. Assumes we slowly return to FY19 state funding levels
2. Slowed growth in real estate
3. No projection of Fair School Funding is included.

Expenditure Decreases/Increases

1. Salaries increase via steps
2. 0% in benefits for FY20 – 9% increases thru FY25
3. Purchased services/Supplies – holding steady with some reductions.
4. No assumptions yet for moving to the new building
5. Capital Outlay projects still need to be adjusted.

REVENUE HISTORY AND ASSUMPTIONS

- Unrestricted State Aid
  - BBHCSD has realized a reduction of State Aid by about $500,000.
    - Recall – last fall the reduction was 1.1 million.
    - Later, legislative action helped "wealthier" districts which gave back about $577,000.
  - BBHCSD absorbed approximately $100,000 in the current fiscal year from last fiscal year (which was not reduced due to lack of timing before fiscal year end)
  - We have been told that FY21 levels should remain in tact post legislative action.
  - In FY24, we assume <u>to return to FY19 funding levels.</u>
  - Fair School Funding would potentially drive additional dollars to the district IF it passes AND would be fully funded. There is potential that it passes but isn't funded appropriately for a few years. No assumptions of this have been included.

REVENUE HISTORY AND ASSUMPTIONS CONTINUED

- Restricted Grants in Aid Remains unchanged
  - Economically disadvantaged
  - Career and Tech Funding
  - Catastrophic Aid – can be unpredictable number year to year.
- Property Tax Allocation
  - Homestead and Rollback – slowly decreases over time as part of this is phased out.
- Other Revenue
  - Can vary the most from year to year – assumes relatively steady revenue.
  - Casino Revenue projected to return to normal in FY21 moving forward provided there are no more shut-downs.
- TIF – no revenues have been assumed into this forecast regarding the TIF which would not hit our books until FY24.

EXPENDITURE HISTORY AND ASSUMPTIONS

- Personnel Services
  - Accounts for 62% of all expenditures
  - Assumes 2% base increase per CBA in FY21
  - Assumes 1% base increase in FY22 thru FY25
  - Assumes steps continue year after year
    - Approx ($360,000 annually)
  - Continuing to work with Pupil Services on the results from the Special Education Audit which should yield savings, but this process will take 2-4 years.

- Benefits
  - Retirements, W.C, Incentives, Medicare, Healthcare benefits
  - Accounts for 22-24%
  - Assumes 0% in FY21 and 9% increases each year in healthcare (historically accurate)
  - Other items are straight percentage of salaries and increases trend with salaries.

EXPENDITURE HISTORY AND ASSUMPTIONS CONTINUED

- Purchased Services
  - Accounts for 10% of total expenditures
  - Examples in this category
    - Tuition
    - Special Education Tuition (reductions)
    - Special Education Transportation
      - (reductions)
    - Legal Fees
    - Substitutes
    - Utilities, etc
  - Reductions of some contracts are assumed.
- Supplies
  - Anticipation of increased supplies for FY21 due to COVID-19
  - Re-evaluation of all supplies is currently underway.
- Capital Outlay
  - Still to be determined.
  - Energy savings project may need to be financed but savings, combined with excellent rates can yield positives for the district's other aging buildings.

GENERAL COMMENTS

- We have done an excellent job reigning in expenditures and utilizing federal dollars to the best of our ability.
- We have dramatically improved efficiencies throughout the district as it pertains to finances and will continue to drill down into more efficiencies over time.
  - The new purchasing/payroll/HR/budgeting software will automate many processes now thus requiring less manpower over time.
- Salaries and Benefits account for the majority of our expenditures and will need to be closely monitored in order to maintain financial success.
- New Building Assumptions
  - Due to the ongoing COVID-19 pandemic, the district has not had enough time study the effects of onboarding the new PreK-5 Building and powering down the other 3 buildings. Additional discussions and meetings will need to occur this spring before the May 2021 update.
- If this scenario plays out as outlined, the district may need to consider additional levy dollars 2023.